Portfolio	Year 1 Return	Missed the Simple Average of 5%	Year 2 Return	Missed the Simple Average of 5%	Average Miss (~ σ)
A	+5%	0%	+5%	0%	0%
B	+10%	5%	0%	5%	5%
C	+15%	10%	−5%	10%	10%
D	+20%	15%	−10%	15%	15%

The lesson we learn from Tables 2-2 and 2-3 is that higher volatility of returns leads to lower compounded returns and vice versa. Accordingly, any strategy that lowers the return volatility of the portfolio without lowering the simple average return *will increase the compounded return*.

Another benefit from reducing long-term portfolio risk through a prudent asset allocation is that it helps an investor stay committed to a long-term investment strategy. People don't like to lose money. The chance of making an emotional sell decision goes up as the value of a portfolio goes down. Reducing the risk of a large loss in a portfolio increases the probability that investors will stay committed to their investment policy during difficult markets. Maintaining discipline in a bear or bull market is the key to a successful asset allocation strategy.

CHAPTER SUMMARY

There are no risk-free investments, and there are no risk-free asset allocation strategies. Every portfolio that attempts to earn an excess rate of return over taxes and inflation carries some risk of loss. Temporary loss of money in an account is not enjoyable; however, it can be controlled to a point. Developing and maintaining a long-term investment plan reduces overall portfolio risk, and that lowers the tendency for investors to overreact in a bear market. This fact alone increases the probability of investors reaching their financial goals.

There is a long-standing relationship between risk and return in any financial market. The markets with higher than expected return have the greatest uncertainty that this return will occur in the short term. This knowledge can be used to build a portfolio using different asset classes